HRM - Unit IV

Job Evaluation, Compensation, Industrial Relations and Grievances

> **Contents:** Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
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Part A - Notes

> **Syllabus - Unit IV - Compensation, Employee Welfare & Industrial Relations:** Job evaluation; objectives and components of employee compensation (base pay, incentives, fringe benefits); wage policy, wage determination, wage board, factors influencing wage and salary administration. Industrial relations: concept and importance; overview of industrial disputes, collective bargaining and grievance handling machinery.

> **Flow:** Evaluate the job → Design fair compensation → Support employee welfare → Sound industrial relations → Prevent / settle disputes → Collective bargaining → Resolve grievances

1. Job evaluation

Job evaluation is a **systematic assessment of the relative value or worth of jobs** within an organisation so that pay can be set fairly. It compares the *job*, not the person doing it, and begins with job analysis.

- **Objectives:** determine relative job worth; ensure fair pay; support recruitment and retention; basis for promotion; aid performance management; internal equity; align jobs with organisational goals; legal compliance (also: remove discrimination, basis for incentives and negotiation, control payroll cost).

Process

1. Gain acceptance
2. Form the job evaluation committee (experienced employees, union and HR experts)
3. Identify jobs
4. Analyse jobs and prepare job descriptions
5. Select the method
6. Classify jobs
7. Convert ratings into pay

Six methods

Method	How it works	Memory cue
Ranking	Jobs ordered from highest to lowest relative worth (simple; does not show size of difference)	Order
Classification / grading	Jobs placed into predefined grades or classes	Grade
Point-factor	Job broken into factors (skills, responsibility, effort, conditions); weights / points assigned and added	Points
Factor comparison	Jobs compared factor by factor against benchmark jobs (15-20 key jobs)	Benchmark
Hay Guide Chart-Profile	Three profile factors: know-how, problem-solving, accountability	Hay = 3 factors
Market pricing	Job value set from what the external market pays for similar jobs	Market rate

Point-factor example	HR Executive	HR Manager

Skills and knowledge	30	40
Responsibility	20	35
Effort	15	15
Working conditions	10	10
Total points	75	100

Factors, levels and challenges

Factors of job value: strategy, complexity, skills and experience, responsibility, working conditions and effort, impact on results, market trends / skill scarcity, legal compliance and interdependence. **Job-level streams:** management, professional and support career ladders. **Challenges:** subjectivity, complexity and time, keeping evaluations current, employee perceptions, market alignment, consistency and integration.

Fair pay structure: equal worth gets equal pay; higher worth gets higher pay. A sound system is systematic, consistent, transparent and reviewed. **Start-up with ten jobs:** ranking (simple, few jobs).

2. Employee compensation

Compensation is the total package of **financial and non-financial rewards** an employee receives in return for work. **Objectives:** attract talented people, retain good employees, motivate performance, ensure equity, comply with law (e.g. PF in India).

Direct compensation	Indirect compensation (fringe benefits)
Base salary or wages, bonuses, commissions, overtime pay, profit sharing, performance pay	Health insurance, retirement plans, life and disability insurance, paid time off, employee services, stock options / equity, non-monetary rewards

Term	Meaning
Pay level	Pay compared with the job market
Pay structure	Pay differences among jobs inside the firm
Pay form	Mix of guaranteed and at-risk pay

Incentive plan	Meaning
Piece rate	Pay per unit produced
Standard hour plan	Hourly rate × standard time, whatever the actual time
Profit sharing	Annual bonus from a profit pool
Gainsharing	Bonus from productivity (lower labour cost shared)

3. Wage policy, wage determination and wage boards

A wage policy sets the principles guiding pay: fair and adequate wages, reduce disparities, support economic stability, raise productivity, maintain industrial peace. **Components:** minimum, fair and living wage; internal and external equity; wage differentials; incentives; wage revision; legal compliance. Principle: equal pay for equal work.

Wage	Meaning
Minimum wage	Basic needs of worker and family at the lowest acceptable level; legal floor (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage; productivity and capacity to pay
Living wage	Decent standard of living incl. education, health, some savings

Factors in wage determination: employer's ability to pay, market rates, cost of living, government regulation, trade unions, job requirements and skills, productivity, labour demand and supply, industry conditions.

Mechanisms: collective bargaining, market-based pay, job evaluation, government regulation.

Wage board: brings together government, employers and trade unions (and independent experts). **Functions:** set minimum wages, review wage structures, address pay disparities, advise government. **Advantages:** balanced representation, expert input, flexibility. **Challenges:** enforcing recommendations, balancing interests, keeping rates updated.

4. Wage and salary administration

Designing, applying and reviewing the pay structure within organisational, employee, market and legal limits. **Ten factors:** ability to pay, market rates, cost of living, laws and rules, trade unions, job evaluation, skills, performance, labour market, pay policy. In a depressed economy labour supply rises and wages fall; unions prefer seniority as an objective criterion.

5. Employee welfare

Organised facilities and services provided by the employer over and above wages for workers' well-being (ILO view: measures for workers' comfort, safety and satisfaction).

Objectives: improve working conditions, protect health and safety, raise morale, boost productivity, reduce absenteeism and turnover, attract and retain talent, support workers' families, build goodwill and industrial harmony.

Type	Meaning / examples
Statutory	Facilities required by law
Non-statutory	Offered voluntarily by the employer
Financial	Loans, allowances, financial aid
Health	Medical care, hygiene, safety
Housing	Quarters or housing support
Recreational and cultural	Sports, clubs, cultural events
Educational and training	Learning and skill building
Transport	Commuting facilities

Role of HR: plan, implement, monitor and review welfare programmes; ensure legal compliance; handle grievances. **Challenges:** limited budgets, different needs, difficulty measuring impact, changing laws, low awareness.

6. Industrial relations (IR)

IR are the relationships among **employers, employees and the government** that shape how work is organised and how workplace conflict is handled (Dale Yoder: between management and employees and their organisations; Dunlop: complex of interrelations among managers, workers and agencies of government).

Nature: bipartite or tripartite; collective bargaining; conflict and cooperation; dynamic and union-influenced; affected by globalisation; HRM and social justice. **Types:** individual, collective, employer-employee, employer-union, tripartite, public sector, private sector. **Scope:** employer-employee relations, union-management relations, collective bargaining, disputes and settlement, grievance handling, labour laws and government role. **Importance:** industrial peace, higher productivity, better morale, protection of both parties, social justice and economic growth.

7. Industrial disputes

Under the **Industrial Disputes Act, 1947** an industrial dispute is a difference between employers and workmen,

or among workers, connected with employment, non-employment or the terms and conditions of work. **Causes:** wages and allowances, working conditions, supervision / management style, job security / retrenchment, violation of agreements / laws. **Ten types:** wage disputes, working conditions, disciplinary matters, retrenchment, dismissal, promotion and transfer, bonus and incentive, union recognition, leave and benefits, workload and hours.

Form	Meaning
Strike	Workers quit work to press demands - economic, sympathetic, sit-down, slow-down, hunger
Lockout	Employer closes the workplace
Gherao	Management confined by human barricade
Picketing	People at the gate dissuade workers from entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

Prevention and settlement

Preventive machinery: works committees, joint consultation, grievance handling, code of discipline. **Settlement sequence:** conciliation officer → board of conciliation → arbitration → Labour Court → Industrial Tribunal → National Tribunal.

- **Conciliation:** government appoints an officer / board; investigates; if settled, a signed memorandum binds the parties; if it fails, the officer reports to government within 14 days (board: two months, per the deck).
- **Voluntary arbitration:** both parties agree in writing; select an arbitrator (and an umpire if the number is even); the award binds them.
- **Labour Court:** single judge - dismissal, discharge, standing orders. **Industrial Tribunal:** wider matters - wages, hours, bonus, retrenchment. **National Tribunal:** set up by the Central Government for disputes of national importance.

8. Collective bargaining

Representatives of workers and employers **negotiate wages and conditions of work** and reach a binding agreement. It is bipartite, voluntary, flexible, dynamic and continuous; preparation decides about 83% of the outcome. It gives workers a collective voice, balances bargaining power, builds industrial democracy and reduces strikes.

Eight principles	Eight types	Eight levels
Good faith; mutual trust and respect; voluntary participation; give and take; equality and fair representation; continuous dialogue; problem-solving; compliance with agreements	Distributive (win-lose), integrative (win-win), productivity, composite, concessionary, attitudinal structuring, intra-organisational, continuous	Plant, industry, national, sectoral, regional, multi-employer, enterprise, international

Step	Action
1. Preparation	Gather information, set goals
2. Identify issues	Agree the agenda / demands
3. Select representatives	Choose negotiating teams
4. Negotiation	Present positions and proposals
5. Bargaining and compromise	Trade concessions
6. Agreement	Write the settled terms
7. Ratification	Approval from members and management
8. Implementation and follow-up	Apply and review

Advantages: industrial peace, protects employee rights, better wages and conditions, industrial democracy, productivity, stability. **Disadvantages:** time consuming, deadlock, union rivalry, unequal power, cost, confrontation, hard to implement, individuals overlooked. Type = style; level = where bargaining takes place.

9. Grievance handling

A grievance is an employee's complaint or dissatisfaction about something at work - real or imagined - that calls for corrective action. **Ten causes:** wages, promotion, working conditions, workload, management behaviour, transfers, leave, appraisal, discipline, job security.

> **Flow:** Receive → Acknowledge → Investigate → Analyse → Act → Communicate → Appeal → Follow up

Five principles: promptness; fairness and impartiality; confidentiality; multiple channels; documentation and follow-up. **In-house machinery:** open-door policy, grievance procedure and committee, employee representation, mediation and arbitration, suggestion and complaint system, HR department, escalation and appeal.

Statutory machinery (per the deck): Grievance Redressal Committee - Industrial Relations Code, 2020, 20 or more workers; Works committee - Industrial Disputes Act, 1947, 100 or more workmen; conciliation officer / board; Labour Court and Industrial Tribunal; National Industrial Tribunal; voluntary arbitration. (Verify thresholds against current law for any real decision.)

Model Grievance Procedure (Notes of Unit - 4)	Time
Officer designated by management replies	48 hours
Head of department	3 days
Grievance committee recommends	7 days
Manager's decision	3 days
Revision petition	7 days
Still unsatisfied	Voluntary arbitration

The Code of Discipline (Indian Labour Conference, 1957) advised a mutually agreed grievance procedure; deal with a grievance first at the lowest level; essentials of a good procedure: legal sanctity, acceptability, simplicity, promptness. Trade unions are registered under the Trade Unions Act, 1926.

10. Role of government, unions and management

Party	Role
Government	Labour laws, conciliation, adjudication, wage boards
Trade unions	Represent workers, bargain collectively, maintain discipline
Management	Fair pay and conditions, grievance procedure, communication, participation

> **Application questions (from the deck)**
>
> - A start-up has ten jobs and no pay structure - which method and why? (Ranking: simple, few jobs.)
> - Why might a fringe benefit be worth more to an employee than the same amount as salary?
> - How can ability to pay and cost of living pull a wage decision in opposite directions?
> - Which welfare facilities are statutory and which voluntary?
> - A strike begins over bonus payment - which preventive and settlement machinery could have been used?
> - An employee says a promotion was unfair - walk through the grievance procedure step by step.

Part B - Important questions

1. What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?
2. Explain the methods of job evaluation. Discuss the merits and demerits of each.
3. Define employee compensation and explain its objectives. Discuss the components of compensation: base pay, incentives and fringe benefits.
4. Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.
5. Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?
6. Explain the factors influencing wage and salary administration.
7. Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.
8. What are industrial disputes? Explain their causes, forms and the machinery for settlement.
9. Explain collective bargaining and discuss its process. How does it help in resolving conflicts between management and workers?
10. Explain the causes of employee grievances and how they can be redressed.
11. Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Part C - Detailed model answers (47 answers)

Q1. [2 marks] What is job evaluation?

Job Evaluation

Job evaluation is a systematic way of determining the **value or worth of a job in relation to other jobs** in the organisation.

- It starts from job analysis (job descriptions).
- Its aim is a rational and fair pay structure.

Example: Rating the jobs of clerk, accountant and manager to decide their relative pay.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q2. [3 marks] Distinguish between job analysis and job evaluation.

Job Evaluation

Basis	Job analysis	Job evaluation
Meaning	Gathers information about a job	Determines the worth of a job
Output	Job description and specification	Grading / pay rate of the job
Sequence	Comes first	Follows job analysis

Job analysis collects facts; job evaluation uses them to value the job.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q3. [5 marks] Explain the objectives of job evaluation.

Job Evaluation

Introduction

Job evaluation rates jobs so that employees receive fair pay according to the importance of their jobs.

1. **Fair wage differentials** between jobs.
2. **Eliminate inequities** in pay and reduce discrimination on the basis of age, gender and caste.
3. **Consistent wage policy** throughout the organisation.
4. **Basis for incentives** and wage negotiation with unions.
5. **Control payroll cost** by paying jobs only what they are worth.

Marking scheme: Introduction 0.5 · five objectives 4 · explanation 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q4. [10 marks] What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?

Job Evaluation

1. Introduction

Job evaluation is a systematic way of determining the value or worth of a job in relation to other jobs. Every method needs at least some basic job analysis. It aims at a rational pay structure.

2. Objectives

- Determine equitable wage differentials between jobs.
- Eliminate inequities and reduce discrimination.
- Consistent wage policy, basis for incentives and support in negotiations.

- Control payroll cost.

3. Process

1. Gain acceptance of the programme from employees and unions.
2. Form a job evaluation committee of experienced employees, union representatives and HR experts (one person cannot evaluate all key jobs).
3. Identify the jobs to be evaluated.
4. Analyse jobs and prepare job descriptions.
5. Select the method of evaluation.
6. Classify the jobs.
7. Convert the ratings into pay rates.

4. Importance

- Gives employees confidence that pay is fair.
- Reduces disputes and wage complaints.
- Helps hiring at the right pay.

5. Fair pay structure

Jobs of equal worth get equal pay and jobs of higher worth get higher pay. Thus the pay structure is based on the demands of the job and not on personal likes.

> **Example:** If a supervisor's job scores 300 points and a clerk's 150, the supervisor's grade carries a higher pay band.

6. Conclusion

Job evaluation links pay to job worth and provides a fair, defensible base for compensation.

> **Marking scheme:** Introduction 1 · objectives 2 · process 3 · importance 1 · pay structure 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q5. [10 marks] Explain the methods of job evaluation. Discuss the merits and demerits of each.

Job Evaluation

1. Introduction

Job evaluation methods are of two types: non-analytical (the job is considered as a whole - ranking and classification) and analytical (the job is broken into factors - point and factor comparison).

2. Ranking method

Jobs are arranged from the highest to the lowest in value as a whole. **Merits:** simplest and quickest. **Demerits:** subjective and difficult in large organisations; suited only to small firms.

3. Classification method

Jobs are assigned to predetermined job classes or grades (e.g. executives, skilled, semi-skilled, unskilled). **Merits:** simple; suits many jobs. **Demerits:** grade definitions are difficult and jobs may be forced into a wrong grade.

4. Factor comparison method

Jobs are ranked factor by factor (mental effort, physical effort, skill, responsibility) against 15-20 key jobs that represent wage levels, and money is assigned to each factor. **Merits:** consistent. **Demerits:** the most complex method.

5. Point method

Jobs are expressed in terms of key factors (skill, responsibility, effort) with sub-factors and points; the points are added and later converted to money. **Merits:** widely used, systematic, less subjective. **Demerits:** time consuming

and costly to design.

6. Summary

Method	Basis	Best for
Ranking	Job as whole	Small firms
Classification	Grades	Large groups of similar jobs
Factor comparison	Factors with money	Where consistency is needed
Point	Factors with points	Most organisations

7. Conclusion

The choice depends on the size and complexity of the organisation; the point method is the most widely used today.

Marking scheme: Introduction 1 · four methods with merit/demerit 6 · summary 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q2 · Notes of Unit - 4

Q6. [2 marks] Define employee compensation.

Compensation

Compensation is the **total reward received by an employee in exchange for the services performed** for the organisation.

- **Direct compensation:** salary, wages, bonus and incentives.
- **Indirect compensation:** benefits such as insurance, paid leave and pension.

Example: A salary of Rs 30,000 plus medical insurance and annual bonus.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q7. [3 marks] Explain the objectives of a compensation system.

Compensation

1. **Attract and retain** high-quality employees by offering competitive pay.
2. **Ensure adequate role behaviour:** pay should make employees perform their assigned duties.
3. **Motivate extra-role behaviour:** incentives encourage employees to do more than required.

A good system is fair, legal and affordable.

Marking scheme: Three objectives 1 each

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q8. [3 marks] Explain pay level, pay structure and pay form.

Compensation

Term	Meaning
Pay level	The relative amount of pay assigned to each job compared with the job market
Pay structure	The relative pay differential among various jobs within the organisation
Pay form	The makeup of pay - guaranteed versus at-risk (variable) pay

Example: Offering a clerk Rs 20,000 where the market rate is Rs 22,000 shows a lower pay level.

Marking scheme: Three terms 1 each

Asked in: · Notes of Unit - 4

Q9. [6 marks] Define employee compensation and explain its objectives. Discuss the components: base pay, incentives and fringe benefits.

Compensation

Introduction

Compensation is the total reward received by an employee in exchange for services. It includes direct pay (salary and wages) and indirect pay (benefits).

Objectives

- Attract and retain good employees.
- Ensure adequate role behaviour.
- Motivate extra-role behaviour.

Components

Component	Meaning	Examples
Base (guaranteed) pay	Fixed monetary reward based on the employer-employee relationship	Basic salary, wages
Incentives (variable pay)	Pay linked to performance, results or discretion	Bonus, sales incentive, piece rate, profit sharing, gainsharing
Fringe benefits	Non-cash benefits that supplement pay	Medical insurance, paid time off, company car
Equity-based pay	Rewards through the employer's shares	Stock options

Marking scheme: Definition 1 · objectives 1.5 · components 3.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q10. [5 marks] Explain the various incentive plans: piece rate, standard hour plan, profit sharing and gainsharing.

Compensation

Introduction

Incentive plans link a part of pay with performance to motivate employees.

Plan	Meaning	Example
Piece rate	An individual incentive plan under which pay depends on the number of units produced	Rs 5 for each unit stitched
Standard hour plan	Employee is paid the hourly rate for the standard time of a task, regardless of the actual time taken	Standard 1.5 h at Rs 40/h = Rs 60 whether it takes 1 or 3 hours
Profit sharing	An annual bonus from a pool based on the overall profitability of the company	Year-end profit bonus
Gainsharing	Bonus based on productivity, comparing labour cost with the value of output; savings are split between employees and the company	Bonus for lower labour cost per unit

Note: a bonus is a lump sum for a specific objective and does not become part of the base pay, whereas merit pay does.

Marking scheme: Introduction 0.5 · four plans 4 · note 0.5

Asked in: · Notes of Unit - 4

Q11. [3 marks] Distinguish between defined contribution plans and termination benefits.

Compensation

Basis	Defined contribution plan	Termination benefits
Meaning	A post-employment plan where the enterprise pays fixed contributions into a separate fund	Benefits payable on early termination or voluntary retirement
Obligation	No further obligation if the fund is insufficient	Arises due to the decision to terminate
Example	Provident fund contribution	Voluntary retirement compensation

Vested employee benefits are benefits already earned that do not depend on future employment.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q12. [2 marks] What is wage policy?

Wage & Salary Administration

Wage policy is the set of principles and guidelines that an organisation or the government follows in fixing and administering wages and salaries.

- It should be fair to both employers and employees and consistent with law.
- Principles include equity, adequacy, incentive and ability to pay; "equal pay for equal work" is a key principle.

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q4 · Notes of Unit - 4

Q13. [3 marks] Distinguish between wages and salary.

Wage & Salary Administration

Basis	Wages	Salary
Paid to	Workers (manual, unskilled)	Clerical, managerial and professional staff
Period	Daily or weekly	Monthly
Basis	Often hours or output	Fixed monthly amount

Wage determination is the process of fixing the wage rates for different jobs using job evaluation, market surveys and the organisation's ability to pay.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q4

Q14. [6 marks] Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.

Wage & Salary Administration

Introduction

Wage policy is the guiding framework for fixing pay; **wage determination** is the process of fixing the wage rates for different jobs.

Principles

- Fairness to employers and employees; compliance with law.
- Equal pay for equal work.
- Adequacy, incentive and ability to pay.

Factors influencing wages

Internal factors	External factors
Ability to pay	Laws such as the Minimum Wages Act and bonus rules
Organisation's strategy	State of the economy; a depressed economy lowers wages
Job evaluation	Inflation and cost of living
Employee performance, experience and seniority	Labour market and competitors' pay
Employee potential	Trade unions; technology

Trade unions generally prefer **seniority** as an objective criterion for pay rises; management prefers performance.

Marking scheme: Concepts 1.5 · principles 1.5 · factors 3

Asked in: Important Questions - Unit 4, Q4 · Important Questions - Unit 4, Q6 · Notes of Unit - 4

Q15. [3 marks] Distinguish between minimum wage, fair wage and living wage.

Wage Concepts

Wage	Meaning
Minimum wage	The lowest wage that meets the basic needs of a worker and his family; the legal floor under the Minimum Wages Act, 1948
Fair wage	Lies between the minimum wage and the living wage; depends on productivity, prevailing rates and the employer's capacity to pay
Living wage	A wage giving a decent standard of living including education, health and some savings

Order (lowest to highest): minimum wage, fair wage, living wage (Committee on Fair Wages, 1948).

Marking scheme: Three wages 2.5 · order 0.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4

Q16. [6 marks] Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?

Wage Concepts

Introduction

Wages are classified into three levels according to what they provide to the worker.

Wage	Meaning	Factors
Minimum wage	Basic needs of worker and family at the lowest acceptable level	Fixed by law (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage	Productivity of labour and capacity of the industry to pay
Living wage	Decent standard of living, education, health and some savings	Cost of living

Wage Boards

- A Wage Board is a **tripartite body** of employer, employee and independent members.
- It **recommends wage structure and related benefits** for an industry.
- Its recommendations guide wage determination in that industry and help in settling disputes.

Marking scheme: Introduction 0.5 · three wages 3 · wage boards 2.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4

Q17. [2 marks] Define Industrial Relations.

Industrial Relations

Industrial relations describe the relationship between **management and employees and their organisations** (Dale Yoder). According to Dunlop, industrial relations are the complex of interrelations among managers, workers and agencies of government.

- The parties are employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Definition 1 · parties 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q18. [3 marks] Explain the scope of industrial relations.

Industrial Relations

1. **Collective bargaining** and **workers' participation in management**.

2. **Industrial disputes**, their prevention and the machinery for settlement.
3. **Grievance handling and discipline**, and **labour legislation**.

Parties to IR include employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Three points 1 each

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q19. [10 marks] Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.

Industrial Relations

1. Introduction

Industrial relations (IR) describe the relationship between management and employees and their organisations. Dunlop defines them as the complex of interrelations among managers, workers and agencies of government.

2. Concept

- IR arises because industrial societies need managers, workers and governments to deal with one another.
- It covers both individual and collective relations in industry.

3. Parties

- Employees and trade unions, employers and employers' associations, government, courts and tribunals.

4. Scope

- Collective bargaining, workers' participation, disputes and their machinery, grievances and discipline, labour legislation.

5. Objectives

- Maintain harmonious relations between management and workers.
- Prevent and settle industrial disputes.
- Protect the interests of both sides and promote industrial democracy.

6. Importance for industrial peace and productivity

Importance	Explanation
Industrial peace	Fewer strikes, lockouts and gheraos
Higher productivity	Cooperative workers produce more
Protection of interests	Fair deal for management and labour
Industrial democracy	Workers' voice in decisions

7. Conclusion

Good industrial relations are the base of industrial peace and growth.

Marking scheme: Introduction 1 · concept and parties 2 · scope 1.5 · objectives 1.5 · importance 3 · conclusion 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q20. [6 marks] Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Industrial Relations

Introduction

Healthy industrial relations need the cooperation of the government, trade unions and management.

Party	Role

Government	Makes labour laws (Trade Unions Act, 1926; Industrial Disputes Act; Minimum Wages Act, 1948), provides conciliation, arbitration and adjudication, appoints wage boards
Trade unions	Represent workers, bargain collectively, protect workers' rights and maintain discipline among members
Management	Fair pay and conditions, a grievance procedure, communication and workers' participation

Conclusion: when all three play their roles responsibly, disputes are reduced and productivity improves.

Marking scheme: Introduction 0.5 · three roles 4.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q11 · Notes of Unit - 4

Q21. [2 marks] What is an industrial dispute? Name its causes.

Industrial Disputes

An **industrial dispute** is a conflict or difference between management and workers (or among workers) over employment terms, wages or conditions.

- **Causes:** wages and allowances, bonus, working conditions.
- Retrenchment, lay-off, victimisation and indiscipline.

Marking scheme: Definition 1 · causes 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q22. [3 marks] Distinguish between strike and lockout.

Industrial Disputes

Basis	Strike	Lockout
Meaning	Quitting of work by a group of workers to press demands	Employer closes the place of work to pressure workers
By whom	Workers	Employer
Types	Economic, sympathetic, sit-down, slow-down, hunger	Total or partial closure

In a sit-down strike workers stay at the workplace but do not work.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q23. [3 marks] Explain gherao, picketing, lay-off and retrenchment.

Industrial Disputes

Term	Meaning
Gherao	Preventing members of management from leaving the premises by blocking exits with human barricades
Picketing	Stationing persons at the factory gate to dissuade workers from reporting for work
Lay-off	Temporarily setting aside workmen for a period no longer than the emergency
Retrenchment	Permanent discharge of surplus labour by the employer for any reason

Marking scheme: Four terms, 0.75 each

Asked in: · Notes of Unit - 4

Q24. [10 marks] What are industrial disputes? Explain their causes, forms and the machinery for settlement.

Industrial Disputes

1. Introduction

An **industrial dispute** is a conflict between management and workers over terms and conditions of employment. Disputes of **interest** concern new claims and demands; disputes of **right** concern the application or interpretation of an existing agreement.

2. Causes

Type	Causes
Economic	Wages and allowances, bonus, working conditions
Managerial	Retrenchment, lay-off, victimisation, indiscipline
Other	Recognition of unions, interpretation of agreements

3. Forms of industrial action

Form	Meaning
Strike	Workers quit work to press demands - economic, sympathetic, sit-down, slow-down, hunger
Lockout	Employer closes the workplace
Gherao	Management confined by a human barricade
Picketing	People stationed at the gate to stop workers entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

4. Machinery for settlement

Method	Nature
Conciliation	A third party helps both sides reach settlement but cannot impose a decision
Arbitration	A neutral arbitrator gives a binding award (voluntary, by mutual consent)
Adjudication	Labour courts and industrial tribunals decide; compulsory and binding

> **Example:** If workers and management disagree on bonus, a conciliation officer first tries to settle; failing which the matter may go to a tribunal.

5. Conclusion

Prevention through good communication, grievance procedure and collective bargaining is better than settlement of disputes.

> **Marking scheme:** Introduction 1 · causes 2 · forms 3 · machinery 2.5 · example 0.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q25. [2 marks] Define collective bargaining.

Collective Bargaining

Collective bargaining is a process in which **management and employee representatives meet and negotiate** the terms and conditions of employment.

- It is a group action: both sides act as a group, not as individuals.
- It is voluntary and bipartite (only the two parties take part).

> **Marking scheme:** Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q26. [3 marks] State the characteristics of collective bargaining.

Collective Bargaining

1. **Collective and bipartite:** only management and workers' representatives participate, without third-party intervention.
2. **Flexible, dynamic and continuous:** it is not a rigid one-time event; terms keep being renegotiated.
3. **Two-way and voluntary:** both sides give and take, and it ensures industrial democracy.

> **Marking scheme:** Three characteristics 1 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q27. [6 marks] Explain collective bargaining and discuss its process. How does it help in

resolving conflicts between management and workers?

Collective Bargaining

Introduction

Collective bargaining is a process in which management and employee representatives negotiate the terms and conditions of employment. It is voluntary, bipartite, flexible and continuous.

Process

1. **Pre-negotiation preparation** - collecting data and fixing demands; the notes say that about 83% of the bargaining outcome is influenced by this stage.
2. **Negotiation** - on wages, supplementary benefits (pension, gratuity, health insurance) and administrative issues (seniority, grievance).
3. **Agreement** - the terms are written down.
4. **Ratification** - approval by members, because the negotiators may not have the ultimate authority to decide.
5. **Administration** - the HR manager runs the agreement day to day; signing is the beginning of implementation, not the end.

How it helps

It settles issues peacefully across the table, builds mutual understanding, prevents strikes and lockouts, and ensures industrial democracy.

> **Marking scheme:** Introduction 1 · process 3.5 · how it helps 1.5

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q28. [2 marks] What is a grievance?

Grievance

A **grievance** is **any dissatisfaction or feeling of injustice in connection with one's employment** that is brought to the attention of management.

- It may be valid or not, expressed or not.
- The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute grievances.

> **Marking scheme:** Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q29. [3 marks] Explain the causes of employee grievances.

Grievance

Cause	Examples
Management policy	Wage payment, leave, overtime, seniority, transfer, disciplinary action
Working conditions	Improper matching of worker with the job, poor environment
Personal reasons	Over-ambition, excessive self-esteem (the employee's attitude)

> **Marking scheme:** Three causes 1 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q30. [6 marks] Explain the causes of employee grievances and how they can be redressed.

Grievance

Introduction

A grievance is any dissatisfaction or feeling of injustice about one's employment that is brought to the notice of management.

Causes

- **Management policy** - wages, leave, overtime, seniority, transfer.
- **Working conditions** - improper matching of worker with the job.
- **Personal reasons** - over-ambition and excessive self-esteem.

Redressal - Model Grievance Procedure

Step	Time limit
Officer designated by management gives his reply	48 hours
Head of the department	3 days
Grievance committee recommendation	7 days
Manager's decision	3 days
Revision petition	7 days
If still unsatisfied	Voluntary arbitration (final step)

A grievance should first be dealt with at the lowest level, by the immediate superior, so that it is settled on the spot. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised a mutually agreed grievance procedure.

Marking scheme: Introduction 0.5 · causes 1.5 · procedure 3 · note 1

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q31. [3 marks] What are the essentials of an effective grievance procedure?

Grievance

1. **Legal sanctity:** the procedure must conform to the law.
2. **Acceptability and simplicity:** it must be accepted by all and be simple to use.
3. **Promptness:** grievances must be settled quickly, within fixed time limits, with a right to appeal.

Marking scheme: Three essentials 1 each

Asked in: · Notes of Unit - 4

Q32. [10 marks] Define job evaluation. Explain its objectives and the six methods of job evaluation with examples.

Job Evaluation

1. Introduction

Job evaluation is a **systematic assessment of the relative value or worth of jobs** within an organisation so that pay can be set fairly. It compares the **job**, not the person who performs it, and gives a transparent and defensible base for pay structures, promotions and internal equity.

2. Objectives

- Determine relative job worth; ensure fair pay.
- Support recruitment and retention; provide a basis for promotion.
- Aid performance management; build internal equity.
- Align jobs with organisational goals; ensure legal compliance.

3. Six methods

Method	How it works	Example / cue
Ranking	Jobs ordered from highest to lowest relative worth	Simple; best when jobs are few
Classification	Jobs placed into predefined grades or classes	Executives, skilled, semi-skilled, unskilled
Point-factor	Jobs scored on factors (skills, responsibility, effort, conditions); points added	HR Manager 100 points vs HR Executive 75
Factor comparison	Jobs compared factor by factor against benchmark jobs	Rating scale 1-5 or money value

Hay Guide Chart-Profile	Three profile factors: know-how, problem-solving, accountability	Senior manager high on all three
Market pricing	Job value set from what the external market pays for similar jobs	External market rate

4. Conclusion

A sound system is systematic, consistent, transparent and reviewed when jobs change. For a start-up with ten jobs and no pay structure the **ranking** method is simplest.

Marking scheme: Introduction 1 · objectives 2 · six methods 5 · conclusion 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q33. [5 marks] Explain the factors considered in assessing job value and the challenges in job evaluation.

Job Evaluation

Factors of job value

- Organisational strategy, job complexity, skills and experience, responsibility.
- Working conditions and effort, impact on results.
- Market trends and skill scarcity, legal compliance and interdependence.

Challenges

Challenge	What can go wrong
Subjectivity in ratings	Different evaluators judge the same job differently
Complexity and time	Detailed evaluation needs effort and resources
Keeping evaluations current	Jobs change with technology and structure
Employee perceptions	Results may be seen as unfair
Market alignment	Internal values may not match external pay
Consistency and integration	Ratings need consistency across units

Marking scheme: Factors 2.5 · challenges 2.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q34. [6 marks] Explain direct and indirect compensation. Why is compensation important?

Compensation

Meaning

Compensation is the total package of financial and non-financial rewards an employee receives for work done; it goes beyond the salary slip.

Direct compensation	Indirect compensation (fringe benefits)
Base salary or wages, bonuses, commissions, overtime pay, profit sharing, performance pay	Health insurance, retirement plans, life and disability insurance, paid time off, employee services, stock options, non-monetary rewards

Importance

- Attracts talent; improves retention; motivates performance.
- Raises satisfaction; ensures equity; supports development.
- Aligns pay with goals; ensures compliance (e.g. PF in India).

Why can a fringe benefit be worth more than the same amount as salary? Benefits such as insurance or retirement plans are bought in bulk by the employer, may be tax-efficient and give security that cash does not.

Marking scheme: Meaning 1 · direct and indirect 2.5 · importance 2.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q35. [5 marks] Explain wage policy: its objectives and components. How is wage determined?

Wage Policy

Wage policy

A wage policy sets the principles and rules that guide how employees are paid; it aims to make wages fair and adequate while supporting productivity, economic stability and industrial peace.

Objectives	Components
Fair and adequate wages; reduce disparities in pay; support economic stability; raise productivity; maintain industrial peace	Minimum, fair and living wage; internal and external equity; wage differentials; incentives; wage revision and administration; legal compliance

Wage determination

- **Factors:** ability to pay, market rates, cost of living, government regulation, trade unions, job requirements and skills, productivity, labour demand and supply, industry conditions.
- **Mechanisms:** collective bargaining, market-based pay, job evaluation, government regulation - often used together.

Marking scheme: Wage policy 1 · objectives and components 2 · determination 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q36. [5 marks] What is a wage board? Explain its functions, advantages and challenges.

Wage Concepts

A **wage board** brings together representatives of the three main parties - government, employers and trade unions - and may include independent experts. It is a forum for considering wage structures and competing interests.

Functions	Advantages	Challenges
Set minimum wages; review wage structures; address pay disparities; advise government	Balanced representation; expert input; flexibility	Enforcing recommendations; balancing competing interests; keeping rates updated

Marking scheme: Meaning 1.5 · functions 1.5 · advantages and challenges 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q37. [3 marks] List the ten factors influencing wage and salary administration.

Wage & Salary Administration

1. Ability to pay
2. Market rates
3. Cost of living
4. Laws and rules
5. Trade unions
6. Job evaluation
7. Skills
8. Performance
9. Labour market
10. Pay policy

Example of conflict: ability to pay may limit a rise while rising cost of living demands one - the two pull a wage decision in opposite directions.

Marking scheme: Ten factors, 0.3 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q38. [10 marks] What is employee welfare? Explain its objectives, types of facilities, the role of HR and the challenges in welfare administration.

Employee Welfare

1. Meaning

Employee welfare refers to organised facilities and services that an employer provides **over and above wages** for workers' well-being. The ILO view: measures for workers' comfort, safety and satisfaction.

2. Objectives

- Improve working conditions; protect health and safety.
- Raise morale and satisfaction; boost productivity.
- Reduce absenteeism and turnover; attract and retain talent.
- Support workers' families; build goodwill and industrial harmony.

3. Types of welfare facilities

Type	Meaning / examples
Statutory	Facilities required by law
Non-statutory	Offered voluntarily by the employer
Financial	Loans, allowances, financial aid
Health	Medical care, hygiene and safety
Housing	Quarters or housing support
Recreational and cultural	Sports, clubs, cultural events
Educational and training	Learning and skill building
Transport	Commuting facilities

4. Role of HR

- Plans welfare programmes to meet employee needs; implements, monitors and reviews them.
- Ensures legal compliance, supports health and safety; handles grievances.

5. Challenges

- Limited budgets and different needs; difficulty in measuring impact; changing laws; low employee awareness.

Marking scheme: Meaning 1 · objectives 2 · types 3 · role 2 · challenges 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q39. [5 marks] Explain the types, scope and importance of industrial relations.

Industrial Relations

Meaning

Industrial relations are the relationships among employers, employees and the government that shape how work is organised and how workplace conflict is handled.

Types

- Individual, collective, employer-employee, employer-union, tripartite, public sector, private sector.

Scope

- Employer-employee and union-management relations, collective bargaining, disputes and settlement, grievance handling, labour laws and the role of government.

Importance

- Industrial peace and fewer disputes, higher productivity, better morale and cooperation, protection of both parties' interests, social justice and economic growth.

Marking scheme: Meaning 1 · types 1.5 · scope 1.5 · importance 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q40. [5 marks] Define an industrial dispute under the Industrial Disputes Act, 1947. Explain its main causes and types.

Industrial Disputes

Under the **Industrial Disputes Act, 1947** an industrial dispute is a difference between employers and workmen, or among workers, connected with employment, non-employment or the terms and conditions of work.

Main causes

- Wages and allowances; working conditions; supervision / management style; job security and retrenchment; violation of agreements or laws.

Ten types of industrial disputes

1-5	6-10
Wage disputes, working conditions, disciplinary matters, retrenchment, dismissal	Promotion and transfer, bonus and incentive, union recognition, leave and benefits, workload and working hours

Marking scheme: Definition 1.5 · causes 1.5 · ten types 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q41. [10 marks] Explain the machinery for the prevention and settlement of industrial disputes in India.

Industrial Disputes

1. Introduction

Preventive machinery tries to resolve workplace issues before they become formal disputes; settlement machinery resolves disputes that have arisen.

2. Preventive machinery

Mechanism	How it works
Works committee	Employer and worker representatives discuss day-to-day issues
Joint consultation	Regular dialogue between management and workers
Grievance handling	Complaints are addressed before they grow
Code of discipline	Agreed standards of conduct guide both sides

3. Settlement machinery - sequence

Flow: Conciliation officer → Board of conciliation → Arbitration → Labour Court → Industrial Tribunal → National Tribunal

- **Conciliation:** government appoints an officer or board; investigation; if the parties agree a signed memorandum binds them; if it fails the officer reports to government within 14 days (board: two months as stated in the deck).
- **Voluntary arbitration:** both parties agree in writing, select an arbitrator (and an umpire where the number is even); the award binds them.

Adjudicatory body	Role
Labour Court	A single judge; dismissal, discharge, standing orders
Industrial Tribunal	Wider matters - wages, hours, bonus, retrenchment
National Tribunal	Set up by the Central Government for disputes of national importance

4. Conclusion

Prevention through consultation and grievance handling is better than settlement. *Example:* a strike over bonus could have been prevented by a works committee and joint consultation and settled through conciliation.

Marking scheme: Introduction 1 · preventive 2 · sequence and procedures 4 · bodies 2 · conclusion 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q42. [6 marks] Explain the principles of collective bargaining and distinguish its types and levels.

Collective Bargaining

Meaning

Collective bargaining is a process in which representatives of workers and employers negotiate wages and conditions of work and reach an agreement that binds both sides.

Eight principles

- Good faith; mutual trust and respect; voluntary participation; give and take.
- Equality and fair representation; continuous dialogue; problem-solving; compliance with agreements.

Types (style / subject)

Type	Core idea
Distributive	Divides economic gains - win-lose
Integrative	Cooperative win-win problem solving
Productivity	Links new methods with higher pay
Composite	Issues beyond pay - security, safety
Concessionary	Employees give up benefits in difficult times
Attitudinal structuring	Builds trust and attitudes
Intra-organisational	Agreement within each side before talks
Continuous	Regular ongoing discussion

Levels (where bargaining takes place)

- Plant, industry, national, sectoral, regional, multi-employer, enterprise, international.

Type describes the style; level describes the area covered.

> **Marking scheme:** Meaning 0.5 · principles 1.5 · types 2 · levels 1 · distinction 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q43. [10 marks] Explain collective bargaining and its eight-step procedure. Discuss its advantages and disadvantages.

Collective Bargaining

1. Introduction

Collective bargaining gives workers a collective voice and employers an orderly way to settle employment terms. It sets wages and working conditions, balances bargaining power, settles conflict peacefully, produces a written agreement and builds industrial democracy.

2. Eight-step procedure

Flow: Prepare → Identify issues → Select representatives → Negotiate → Compromise → Agree → Ratify → Implement

Step	Action
1. Preparation	Gather information, assess the situation and set goals (preparation decides about 83% of the outcome)
2. Identify issues	Agree the agenda and list the demands
3. Select representatives	Choose the negotiating teams

4. Negotiation	Present positions, explain needs, discuss proposals
5. Bargaining and compromise	Trade concessions and narrow gaps
6. Agreement	Write down the settled terms
7. Ratification	Approval from members and management
8. Implementation and follow-up	Apply the terms and review

3. Advantages and disadvantages

Advantages	Disadvantages
Industrial peace; protects employee rights; better wages and conditions; stronger relations; industrial democracy; fewer disputes; higher productivity; stability and growth	Time consuming; deadlock; union rivalry; unequal bargaining power; cost; may become confrontational; hard to implement; individuals may be overlooked

4. Conclusion

Collective bargaining creates an orderly and representative process for fixing employment terms and supports industrial peace.

Marking scheme: Introduction 1 · eight steps 4 · advantages / disadvantages 3 · conclusion 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q44. [6 marks] Explain the eight-step grievance handling procedure and the five principles of grievance handling.

Grievance

Meaning

A grievance is an employee's complaint or dissatisfaction about something at work - real or imagined - that calls for corrective action. **Common causes:** wages, promotion, working conditions, workload, management behaviour, transfers, leave, appraisal, discipline, job security.

Eight-step procedure

Step	What HR / management does
1. Receive	Take the complaint and record the issue
2. Acknowledge	Confirm it has been heard and will be considered
3. Investigate	Collect facts and hear the relevant people
4. Analyse	Examine the evidence and identify the issue
5. Act	Take appropriate corrective action
6. Communicate	Explain the decision and reasons
7. Appeal	Allow review by a higher authority
8. Follow up	Check that the solution worked

Five principles

- Promptness; fairness and impartiality; confidentiality; multiple channels; documentation and follow-up.

Marking scheme: Meaning 1 · eight steps 3 · five principles 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q45. [5 marks] Explain the in-house and statutory machinery for grievance redressal.

Grievance

In-house mechanisms

Mechanism	Purpose

Open-door policy	Employees approach managers or HR with concerns
Grievance procedure and committee	A defined route for receiving, considering and deciding complaints
Employee representation	Employees or representatives take part
Mediation and arbitration	Structured ways to resolve disagreement
Suggestion and complaint system	Channels to raise problems and propose improvements
HR department	Coordinates, records and monitors
Escalation and appeal	Higher-level review

Statutory machinery in India (as stated in the deck)

Mechanism	Threshold / role
Grievance Redressal Committee	Industrial Relations Code, 2020 - 20 or more workers
Works committee	Industrial Disputes Act, 1947 - 100 or more workmen
Conciliation officer and board; Labour Court; Industrial Tribunal; National Industrial Tribunal; voluntary arbitration	Help parties settle or adjudicate disputes

Verify the thresholds against the current law for any real compliance decision.

> **Marking scheme:** In-house 2.5 · statutory 2.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV)

Q46. [5 marks] An employee says a promotion was unfair. Explain how HR should handle the case step by step.

Grievance

This is an application question: apply the eight-step grievance procedure.

1. **Receive** the complaint and record it in writing.
2. **Acknowledge** - tell the employee it will be examined.
3. **Investigate** - collect the promotion criteria, records and hear the manager and the employee.
4. **Analyse** - check whether the criteria were applied consistently.
5. **Act** - if the promotion was unfair, correct it; if fair, explain the standards.
6. **Communicate** the decision and its reasons.
7. **Appeal** - allow a higher authority to review.
8. **Follow up** - check that morale and trust are restored.

Handle it promptly, fairly and confidentially.

> **Marking scheme:** Steps applied to the case 4 · principles 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV) (class discussion question)

Q47. [5 marks] A strike begins over bonus payment. Which preventive and settlement machinery could have been used?

Industrial Disputes

Preventive

- **Works committee** and **joint consultation** to discuss the bonus issue early.
- **Grievance handling** to listen to complaints.
- **Code of discipline** - agreed standards of conduct.

Settlement (after the dispute arises)

1. **Conciliation** by an officer or board.
2. **Voluntary arbitration** if both parties agree.
3. **Adjudication** - Industrial Tribunal (bonus is a wider matter), or National Tribunal for national importance.

Conclusion: prevention is better than settlement.

Marking scheme: Preventive 2 · settlement 3

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Unit IV) (class discussion question)

Part D - MCQs (30) - answers at the end

1. In arbitration, the dispute is referred to
- A. the Board of Directors, who gives a final decision
- B. a neutral arbitrator whose award is binding
- C. the trade union's executive committee, which decides on the issue
- D. the Registrar of Trade Unions, who fixes the settlement terms

2. In the Model Grievance Procedure, the officer designated by management must respond within
- A. 48 hours
- B. 3 months
- C. 30 days
- D. 7 days

3. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is
- A. piece rate
- B. fringe benefit
- C. gainsharing
- D. profit sharing

4. Which is a disadvantage of collective bargaining?
- A. It protects employee rights
- B. It can be time-consuming and may reach deadlock
- C. It promotes industrial peace
- D. It builds industrial democracy

5. Basic salary is an example of
- A. variable pay
- B. guaranteed pay
- C. bonus
- D. equity-based compensation

6. Workers' compensation first started in
- A. India in 1950
- B. Japan in 1900
- C. Germany in the 1800s
- D. USA in 2000

7. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are
- A. vested benefits
- B. termination benefits
- C. defined contribution
- D. short-term benefits

8. Job evaluation is a systematic way of determining
- A. the value or worth of a job in relation to other jobs
- B. the number of employees required for each job in the department
- C. the information about the tasks and duties attached to a job
- D. the performance of an employee in terms of the requirements of the job

9. Ratification of an agreement is required because
- A. the company wants to avoid paying the agreed wages immediately
- B. the union wants to postpone the implementation of the agreement
- C. the negotiators may not have ultimate authority to decide the issues
- D. the agreement has to be approved by the court before it is operational

10. Which of the following is an aim of a compensation system?

A. Avoid any comparison with the pay offered by other employers
B. Increase industrial disputes between management and the unions
C. Attract and retain high-quality employees
D. Discourage extra role behaviour and reduce employee motivation

11. Under piece rate, individuals are compensated for

A. the profit earned by the company in the financial year
B. the number of units produced
C. the length of service and seniority in the organisation
D. the number of hours spent at the workplace each day

12. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?

A. 50%
B. 10%
C. 25%
D. 83%

13. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

A. the permanent appointment of a labour court in every factory
B. a mutually agreed grievance procedure
C. a uniform national wage scale for workers in all industries
D. a compulsory ban on all strikes and lockouts in the industry

14. The ranking method is best suited for

A. very large complex organisations
B. small organisations
C. government only
D. multinationals only

15. Paid time off, medical insurance and company car are examples of

A. benefits
B. guaranteed pay
C. equity
D. variable pay

16. Temporarily putting aside workmen, for a period no longer than the emergency, is

A. gherao
B. retrenchment
C. strike
D. layoff

17. 'Equal pay for equal work' is a principle of

A. advertising
B. inventory control
C. wage policy
D. taxation only

18. A fair wage lies

A. above the living wage in every industry and region
B. between the minimum wage and the living wage
C. below the minimum wage fixed by the law for the industry
D. at the level of the profit earned by the employer

19. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?

A. Classification method
B. Essay method

C. Point method
D. Ranking method

20. Bonuses differ from merit pay because bonuses
A. are paid monthly always
B. do not become part of base pay
C. become part of base pay
D. are never lump sums

21. The role of a Wage Board is to
A. decide the profit that an industry may distribute as dividend
B. settle individual grievances of workers about promotion
C. inspect factories for compliance with safety rules
D. recommend wage structure and related benefits for an industry

22. Which step comes before 'selecting the method of evaluation'?
A. Analysing and preparing job description
B. Classifying jobs
C. Converting points into money
D. Implementing wage agreement

23. Dearness allowance and wage revision are
A. supplementary economic benefits
B. legal remedies
C. administrative issues
D. wage-related issues

24. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by
A. John T. Dunlop
B. Frederick Taylor
C. Henri Fayol
D. Dale Yoder

25. Which is NOT among the ten pay-administration factors?
A. Ability to pay of the employer in the present financial year
B. Brand colour of the company
C. Cost of living of the employees in the area of work
D. Trade unions and their collective bargaining power in the firm

26. Which is an objective of job evaluation?
A. To appraise individual performance for the purpose of promotion
B. To select the best candidate for a vacant position
C. To fix the number of employees required for each department
D. To determine equitable wage differentials between jobs

27. A start-up with ten jobs and no pay structure would most easily use
A. the ranking method
B. market pricing only
C. Hay Guide Chart
D. national bargaining

28. Which law-related issue influences remuneration?
A. Regulation of import duties on raw materials
B. Rules on advertising of the company's products
C. Minimum wage and overtime rules
D. Laws on the registration of company trademarks

29. In India, minimum wages are legally fixed under the

A. Indian Contract Act
B. Companies Act, 2013
C. Minimum Wages Act, 1948
D. Consumer Protection Act

30. Which of the following is a basic method of job evaluation?

A. Ranking method
B. Pareto analysis
C. Break-even analysis
D. SWOT analysis

MCQ answer key

1. **B**	6. **C**	11. **B**	16. **D**	21. **D**	26. **D**
2. **A**	7. **B**	12. **D**	17. **C**	22. **A**	27. **A**
3. **C**	8. **A**	13. **B**	18. **B**	23. **D**	28. **C**
4. **B**	9. **C**	14. **B**	19. **C**	24. **A**	29. **C**
5. **B**	10. **C**	15. **A**	20. **B**	25. **B**	30. **A**

MCQ answers with explanations

1. In arbitration, the dispute is referred to

Answer: B. a neutral arbitrator whose award is binding

Why correct: In arbitration a neutral person gives a binding award.

A is wrong: The Board is a party.

C is wrong: The union committee is a party, not neutral.

D is wrong: The Registrar of Unions registers unions.

2. In the Model Grievance Procedure, the officer designated by management must respond within

Answer: A. 48 hours

Why correct: The designated officer must reply within 48 hours.

B is wrong: 3 months is too long.

C is wrong: 30 days is too long for step one.

D is wrong: 7 days is the committee's time.

3. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is

Answer: C. gainsharing

Why correct: Gainsharing shares savings from higher productivity.

A is wrong: Piece rate is per unit.

B is wrong: Fringe benefits are not bonuses.

D is wrong: Profit sharing uses overall profit.

4. Which is a disadvantage of collective bargaining?

Answer: B. It can be time-consuming and may reach deadlock

Why correct: These are limitations.

A is wrong: That is an advantage.

C is wrong: That is an advantage.

D is wrong: That is an advantage.

5. Basic salary is an example of

Answer: B. guaranteed pay

Why correct: Basic salary is fixed and guaranteed.

A is wrong: Variable pay changes with results.

C is wrong: A bonus is variable.

D is wrong: Equity pay uses shares.

6. Workers' compensation first started in

Answer: C. Germany in the 1800s

Why correct: Workers' compensation began in Germany in the 1800s.

A is wrong: India 1950 is wrong.

B is wrong: Japan 1900 is wrong.

D is wrong: USA 2000 is wrong.

7. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are

Answer: B. termination benefits

Why correct: Termination benefits arise from early termination or voluntary retirement.

A is wrong: Vested benefits are already earned.

C is wrong: Defined contribution is a pension plan.

D is wrong: Short-term benefits are paid within a year.

8. Job evaluation is a systematic way of determining

Answer: A. the value or worth of a job in relation to other jobs

Why correct: Job evaluation determines a job's worth relative to other jobs to build a fair pay structure.

B is wrong: Number of employees is manpower planning.

C is wrong: Tasks and duties information is job analysis.

D is wrong: Employee performance is appraisal.

9. Ratification of an agreement is required because

Answer: C. the negotiators may not have ultimate authority to decide the issues

Why correct: The negotiators may not have final authority, so the members or management must ratify.

A is wrong: Ratification is not a way to delay payment.

B is wrong: The union does not ratify to postpone it.

D is wrong: A court need not approve an agreement.

10. Which of the following is an aim of a compensation system?

Answer: C. Attract and retain high-quality employees

Why correct: A compensation system should attract and retain good people.

A is wrong: Comparison with other employers is needed.

B is wrong: It should reduce, not increase, disputes.

D is wrong: It should encourage, not discourage, extra effort.

11. Under piece rate, individuals are compensated for

Answer: B. the number of units produced

Why correct: Piece rate pays per unit produced.

A is wrong: Company profit is profit sharing.

C is wrong: Seniority is not a piece-rate basis.

D is wrong: Hours at work is time rate.

12. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?

Answer: D. 83%

Why correct: The notes say about 83% of the outcome is shaped before negotiation, so preparation matters most.

A is wrong: 50% is not the figure given.

B is wrong: 10% understates the importance of preparation.

C is wrong: 25% is not the figure given.

13. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

Answer: B. a mutually agreed grievance procedure

Why correct: The 1957 Code of Discipline advised a mutually agreed grievance procedure.

A is wrong: A labour court in each factory is not in the Code.

C is wrong: A uniform wage scale is not in the Code.

D is wrong: A ban on all strikes is not in the Code.

14. The ranking method is best suited for

Answer: B. small organisations

Why correct: Ranking is simple but subjective, so only small firms can use it.

A is wrong: Large complex firms need detailed methods.

C is wrong: Government is not specific to ranking.

D is wrong: Multinationals need detailed methods.

15. Paid time off, medical insurance and company car are examples of

Answer: A. benefits

Why correct: Paid leave, insurance and a car are benefits.

B is wrong: Guaranteed pay is basic salary.

C is wrong: Equity is shares.

D is wrong: Variable pay is performance linked.

16. Temporarily putting aside workmen, for a period no longer than the emergency, is

Answer: D. layoff

Why correct: Layoff is a temporary pause that ends with the emergency.

A is wrong: Gherao is confinement.

B is wrong: Retrenchment is permanent.

C is wrong: Strike is by workers.

17. 'Equal pay for equal work' is a principle of

Answer: C. wage policy

Why correct: Equal pay for equal work is a wage policy principle against discrimination.

A is wrong: Advertising is marketing.

B is wrong: Inventory control is operations.

D is wrong: Taxation is public finance.

18. A fair wage lies

Answer: B. between the minimum wage and the living wage

Why correct: A fair wage lies between the minimum and living wage.

A is wrong: Above living wage is not required.

C is wrong: Below minimum is illegal.

D is wrong: Profit alone does not set fair wage.

19. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?

Answer: C. Point method

Why correct: The point method scores key factors and converts points to pay.

A is wrong: Classification is grade based.

B is wrong: Essay is not an evaluation method.

D is wrong: Ranking is not factor based.

20. Bonuses differ from merit pay because bonuses

Answer: B. do not become part of base pay

Why correct: Bonuses are one-time lump sums that do not join base pay.

A is wrong: Bonus timing varies.

C is wrong: Merit pay joins base pay.

D is wrong: Bonuses usually are lump sums.

21. The role of a Wage Board is to

Answer: D. recommend wage structure and related benefits for an industry

Why correct: A Wage Board recommends wage structure and benefits for an industry.

A is wrong: Dividend decisions are the company's.

B is wrong: Individual grievances go to grievance procedure.

C is wrong: Safety inspection is by factory inspectors.

22. Which step comes before 'selecting the method of evaluation'?

Answer: A. Analysing and preparing job description

Why correct: The job description must be prepared before choosing the method.

B is wrong: Classifying jobs comes after the method.

C is wrong: Converting points to money is late.

D is wrong: Implementing the wage agreement is last.

23. Dearness allowance and wage revision are

Answer: D. wage-related issues

Why correct: Dearness allowance and wage revision are about the wage itself - wage-related issues.

A is wrong: Supplementary benefits are pension, gratuity, holidays.

B is wrong: Legal remedies are court actions.

C is wrong: Administrative issues are seniority, grievance, discipline.

24. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by

Answer: A. John T. Dunlop

Why correct: John T. Dunlop defined IR as interrelations among managers, workers and government agencies.

B is wrong: Taylor is scientific management.

C is wrong: Fayol is administrative management.

D is wrong: Dale Yoder's definition differs.

25. Which is NOT among the ten pay-administration factors?

Answer: B. Brand colour of the company

Why correct: The ten factors are pay-related.

A is wrong: Ability to pay is a factor.

C is wrong: Cost of living is a factor.

D is wrong: Unions are a factor.

26. Which is an objective of job evaluation?

Answer: D. To determine equitable wage differentials between jobs

Why correct: Job evaluation sets fair pay differences between jobs.

A is wrong: Appraising performance is appraisal.

B is wrong: Selecting candidates is selection.

C is wrong: Headcount is manpower planning.

27. A start-up with ten jobs and no pay structure would most easily use

Answer: A. the ranking method

Why correct: Ranking is simple for few jobs.

B is wrong: Market pricing needs data.

C is wrong: Hay is complex.

D is wrong: Bargaining is not a method.

28. Which law-related issue influences remuneration?

Answer: C. Minimum wage and overtime rules

Why correct: Minimum wage and overtime laws set legal pay floors.

A is wrong: Import duties are trade law.

B is wrong: Advertising rules are marketing law.

D is wrong: Trademark laws are IP law.

29. In India, minimum wages are legally fixed under the

Answer: C. Minimum Wages Act, 1948

Why correct: Minimum wages are fixed under the Minimum Wages Act, 1948.

A is wrong: Contract Act is about contracts.

B is wrong: Companies Act is about companies.

D is wrong: Consumer Protection Act is about consumers.

30. Which of the following is a basic method of job evaluation?

Answer: A. Ranking method

Why correct: Ranking is a basic evaluation method.

B is wrong: Pareto analysis is quality analysis.

C is wrong: Break-even is a cost tool.

D is wrong: SWOT is strategic analysis.